Business Trends

Selected financial results for the past three fiscal years are summarized below:

($ in millions, except per share data)	Years Ended June 30, 2019	2018	2017
Net sales	$ 2,380.2	$ 2,157.7	$ 1,797.6
Net sales excluding surcharge revenue (1)	$ 1,942.1	$ 1,792.3	$ 1,558.4
Operating income	$ 241.4	$ 189.3	$ 121.5
Net income	$ 167.0	$ 188.5	$ 47.0
Diluted earnings per share	$ 3.43	$ 3.92	$ 0.99
Purchases of property, plant, equipment and software	$ 180.3	$ 135.0	$ 98.5
Free cash flow (1)	$ (53.7)	$ 34.7	$ (16.8)
Pounds sold (in thousands) (2)	267,536	265,620	236,346

(1) See the section "Non-GAAP Financial Measures" below for further discussion of these financial measures.

(2) Includes pounds from Specialty Alloys Operations segment, and certain Performance Engineered Products segment businesses including Dynamet, Carpenter Powder Products and LPW Technology Ltd.

Our sales are across diverse end-use markets. The table below summarizes our sales by end-use market over the past three fiscal years:

	Years Ended June 30,					
	2019		2018		2017	
($ in millions)	Dollars	% of Total	Dollars	% of Total	Dollars	% of Total
Aerospace and Defense	$ 1,327.9	56%	$ 1,182.3	55%	$ 973.3	54%
Medical	205.0	8	175.3	8	125.5	7
Energy	181.7	8	146.5	7	138.0	8
Transportation	157.7	6	157.0	7	143.9	8
Industrial and Consumer	371.5	16	364.9	17	298.2	17
Distribution	136.4	6	131.7	6	118.7	6
Total net sales	$ 2,380.2	100%	$ 2,157.7	100%	$ 1,797.6	100%

Impact of Raw Material Prices and Product Mix

We value most of our inventory utilizing the LIFO inventory costing methodology. Under the LIFO inventory costing method, changes in the cost of raw materials and production activities are recognized in cost of sales in the current period even though these materials may have been acquired at potentially significantly different values due to the length of time from the acquisition of the raw materials to the sale of the processed finished goods to the customers. In a period of rising raw material costs, the LIFO inventory valuation normally results in higher cost of sales. Conversely, in a period of decreasing raw material costs, the LIFO inventory valuation normally results in lower cost of sales.